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MAHATMA GANDHI UNIVERSITY, KOTTAYAM MGU-UGP(HONS) REGULAR EXAMINATION OCTOBER 2025 THIRD SEMESTER

MG3DSCHBM200-ADVANCED HOTEL ACCOUNTING -II

PART A

1. Revenue producing and Non-revenue producing departments.
2. Performance evaluation, Guest satisfaction, Support growth and expansion and Informed decision making.
3. Interest-Ratio of sales, Insurance – The total value of each asset, Rent – Square feet of area occupied, Employee benefit- No.of employees.
4. Allocation is the process of assigning the whole items of cost directly to a specific department.
5. Departmental accounting is a system of accounting where the financial performance and position of each department within an organization are recorded and reported separately.
6. Lack of flexibility, Training and implementation cost, May not suit for all business sizes Not universally adopted.
7. USA is a standardized accounting system specifically designed for the hospitality industry, particularly for hotels and other lodging establishments.
8. Good will, Patent and Trade mark.
9. Standardization and comparability, Improved financial analysis, Transparency and accountability, Efficient internal management.
10. Balance sheet is a statement which shows financial position of the business concern. It records assets, liabilities and capital.
11. Internal audit is a an independent objective assurance and consulting activity designed to add value and improve organizations operations.
12. Statutory audit is a legally mandated review of the accuracy of a companies financial statement and records, conducted by an independent external audit.
13. Auditing is systematic examination of books and records of a business or other organization in order to ascertain or verify and to report upon the fact regarding its financial operation and the result thereof.
14. Operational efficiency and effectiveness, Reliable financial reporting, Compliance with laws and regulations, Safe-guarding of asset.
15. Internal control is the whole system of control, financial or otherwise established by the management in order to carry on the business of the enterprise in an orderly and efficient manner, ensure adherence to management policies, safe-guard the asset and secure as far as possible the completeness and accuracy of the records.

PART B

16. Departmental Income: food- 2,44,333.34 , Beverage – 95,666.66 and Total 3,40,000.
17. Hotel accounting is the process of recording, classifying ,summarizing and interpreting , financial transaction and information related to the operation of a hotel.
18. Departmental Income -7,36,000
19. Format of income statement.

Particulars	Net sales	Cost of sales	Payroll and related expense	Other expense	Income/ Loss
Operated Departments: Room F & B Telecommunication Other operated departments Rentals and other income Total operated departments: (A) Undistributed operating expense: Administrative and general Sales and marketing Property operation and maintenance Utility cost Total undistributed operating expense : (B) Gross operating Profit (A – B) Less: Fixed charges Income before income tax and profit on gain of property. Add: Profit on sale of property Income before income tax Less: Income tax **Net Income**					

20. Internal control is the whole system of control, financial or otherwise established by the management in order to carry on the business of the enterprise in an orderly and efficient manner, ensure adherence to management policies, safe-guard the asset and secure as far as possible the completeness and accuracy of the records.
    Features: Division of duty, Experienced, qualified and trustworthy personnel, Leadership, Authorised personnel etc.
21. Difference between Internal and Statutory Audit:
    1. Objective
    2. Legal requirement
    3. Appointed by
    4. Report submitted to
    5. Qualification

PART C

22. Functions of hotel accounting:
    1. Recording transactions
    2. Budgeting and forecasting
    3. Financial reporting
    4. Cost control
    5. Internal control and auditing
    6. Payroll management
    7. Taxation and compliance
    8. Revenue management.

23. Departmental income statement:
    1. Rooms department income statement
    2. F & B department income statement.
24. Characteristics of Internal Control:
    1. Experienced, qualified and trustworthy personnel
    2. Division of duty
    3. Leadership
    4. Organizational structure
    5. Sound practice
    6. Authorized personnel
    7. Records
    8. Manual procedures
    9. Control
    10. Budget
    11. Report
    12. Independent check.

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